

Additional security demand under clause 4.20 — writ dismissed

High Court of Judicature at Allahabad · Division Bench · 21 March 2017 · Writ-C No. 33734 of 2014 · **Writ dismissed following connected matter; additional-security challenge fails.**

HEADNOTE

A writ by an industrial consumer seeking to quash a demand notice for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 was dismissed, the Court directing that the order of even date in Writ-C No. 30898 of 2016 be seen. An earlier Division Bench had, on 3 July 2014, connected the petition with similar matters and restrained the licensee from demanding additional security until further orders.

FACTUAL SUMMARY

The petitioner, M/s Shri Rathi Steel Limited, an industrial consumer, challenged a demand notice issued by Paschimanchal Vidyut Vitran Nigam Ltd. for additional security, said to have been raised under paragraph 4.20 of the U.P. Electricity Supply Code, 2005. Counsel relied on an interim order of 7 October 2009 in a similar writ (M/s Supreme Ceramics Limited v. PVVNL) and submitted that identical questions were pending in several matters. The petition was connected with Writ Petition (C) No. 51884 of 2009.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security

HOLDING

The writ seeking quashing of a demand notice for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005 was dismissed, the Court directing that the order of even date in Writ-C No. 30898 of 2016 be seen. An earlier interim restraint on demanding additional security, granted by reference to similar pending writs, did not survive the final dismissal. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — INDEPENDENT CONSTRUCTION OF CLAUSE 4.20

This order dismisses the writ by reference to the order of even date in Writ-C No. 30898 of 2016 and does not itself interpret the additional-security clause. ¶ 1

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> Writ Petition No. 51844 of 2009 (order dated 7.10.2009)			Court	Referred
<i>Writ-C No. 30898 of 2016 (order of even date)</i>			Court	Referred

